Hollowell Patent Group PLLC

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May 2, 2020

Personal and Confidential

Barbara Blair
Director of Operations
Middleton, Sullivan and Wiley

Re: Freedom-to-operate analysis

Dear Ms. Blair:

Thank you for asking us to act for Middleton, Sullivan and Wiley on the question of whether it is free to bring its new product to market. This letter records the work we have agreed to do, who will do it, what it will cost, and the terms on which we will act, and once you have countersigned it, it is the agreement between us.

Please read it with care, and tell me before you sign if any part of it differs from your understanding of what we discussed, so that we can correct the letter before the work begins.

What We Will Do

We will analyze whether the product that Middleton, Sullivan and Wiley intends to launch, in the configuration your team documents for us at the outset, can be made, used, offered for sale, or sold in the United States, or imported into it, without infringing any claim of an unexpired United States patent. We will also review published United States applications whose claims, if they issued in their present form or in a form reasonably supported by the specification, could reach that configuration.

Where a claim appears to read on the product, we will set out the available non-infringement positions, the prospects for a design change that avoids the claim, and, at the level needed to judge the risk, any substantial question about the claim's validity. Our conclusions will be stated in a written memorandum addressed to you and marked as privileged.

What Falls Outside This Engagement

The engagement does not include a formal opinion on the validity or enforceability of any patent, a search of patents or applications outside the United States, the preparation of patent applications for Middleton, Sullivan and Wiley, or representation in any licensing negotiation,

dispute, or proceeding before a court or the Patent Trial and Appeal Board. Any of those would require a separate letter.

How the Work Will Proceed

The work will move through four stages, each of which depends on the one before it:

- 1. Definition. Your team provides the drawings, specifications, and bill of materials for the launch configuration, and we confirm in writing the revision we will analyze.
- 2. Search. We search issued patents and published applications by classification, keyword, and citation, and we keep a dated log of every search so that the result can be checked and repeated.
- 3. Review. We read each reference that survives an initial screen against the confirmed revision, and we prepare claim charts, together with the file history, for any claim that warrants close study.
- 4. Opinion. We deliver the memorandum described above, with the search log, the list of references reviewed, and the claim charts on which it relies.

The search speaks as of the date on which we close it, so applications that publish after that date, and patents that issue from them, fall outside the opinion unless you ask us to update it. A change to the product after we confirm the revision is likewise outside the opinion until we have analyzed it, and we will tell you in writing what that further analysis would involve before we begin it.

Who Will Do the Work

Heather Munoz, a partner of the firm, will lead the engagement and will sign the opinion. Richard Henderson and Kelly Snyder, both registered patent agents, will carry out the search and the technical review of the references under her supervision, and because conclusions on infringement are legal conclusions, those conclusions will be reached and stated by Ms. Munoz.

I will remain responsible for the relationship and for the terms of this letter, and you should raise with me directly any concern you have about staffing, cost, or the pace of the work.

Fee and Commencement

Our fee for the engagement as scoped above is a fixed fee of $113,500. Work will begin on May 12, 2020, and we expect it to run about nine months from that date, although the length of the review stage depends on how many references the search returns and cannot be fixed in advance.

The fixed fee covers the four stages described above and nothing else. Work outside that scope, including any update of the search after the opinion issues, will be billed at our standard hourly rates, and only after you have approved it in writing.

Fees and Payment

We will invoice the fixed fee in three equal installments: the first at commencement, the second when we close the search, and the third on delivery of the opinion. Invoices are due within thirty days of their date, and costs such as commercial database charges and copies of file histories are billed at cost in addition to the fee.

If an invoice remains unpaid sixty days after its date, we may suspend work until it is paid, after giving you written notice that we intend to do so. We are not responsible for any delay that results from a suspension, and if the invoice remains unpaid after that notice we may withdraw on the terms set out under Term and Termination.

Conflicts

We have checked Middleton, Sullivan and Wiley and the parties you identified to us against our records and found no conflict that prevents us from acting. A search of this kind can, however, return a patent owned by a current client of this firm, and if it does we will tell you promptly and may need to refer the analysis of that patent to independent counsel.

Term and Termination

This engagement begins on the date stated above and ends when we deliver the opinion, unless it ends earlier under this paragraph. You may end it at any time by written notice, and we may end it by written notice for nonpayment, for a conflict that cannot be resolved, or where the rules of professional conduct require or permit us to withdraw.

If the engagement ends before the opinion issues, you will owe the installments already invoiced, a pro rata share of the next installment for work performed to the date of the notice, and costs incurred to that date. We will return your materials on request.

Confidentiality and Privilege

We will hold in confidence the information and documents you give us in the course of the engagement and will use them only for this work. Our communications with you, and the opinion itself, are intended to be protected by the attorney-client privilege, and that protection can be lost if they are shared beyond the people at Middleton, Sullivan and Wiley who need them in order to make decisions.

We therefore ask that you keep distribution of the opinion to that group, and that you speak to us before sharing any part of our analysis with customers, investors, suppliers, or insurers.

Limitation of Liability

An opinion of this kind is a professional judgment on the documents available at the date of the search; it is not a guarantee that no patent owner will assert a claim against Middleton, Sullivan and Wiley, or that a court would read a claim as we do. Our conclusions depend on the accuracy and completeness of the product information you give us, and we are not responsible for an error that results from information that was inaccurate or incomplete when we received it.

To the extent the rules governing lawyers permit, our liability arising out of this engagement is limited to the fees paid under it, and nothing in this letter limits any liability that those rules do not allow us to limit.

Governing Law

This letter is governed by the law of the state in which the firm maintains its office, without regard to that state's conflict-of-laws rules. If any provision is held unenforceable, the remaining provisions continue in effect.

If these terms are acceptable, please sign in the space provided below and return a copy to me. When I have it, Richard Henderson will send you the list of drawings and specifications we need in order to confirm the launch configuration, and the work will start from that list.

Very truly yours,

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Mary Bradley
Managing Partner
Date: May 2, 2020

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Barbara Blair
Director of Operations, Middleton, Sullivan and Wiley
Date: May 2, 2020